Asia Technology

CCL: Positive 2026/27 outlook with growing TAM and pricing upside

Equities
Electronic Equipment & Instruments

Taiwan

- All three CCL participants beat our 1Q26 revenue estimates
- Price hike extension into high-end CCL supported by solid demand and tight supply
- Retain Buy on EMC/TUC, Hold on ITEQ; raise TPs for all

Strong 1Q26 sales to kick off the year: Recently, all three CCL participants within our coverage reported strong 1Q26 preliminary results. EMC/TUC/ITEQ 1Q26 revenues have reached TWD33.1bn (33% q-o-q and 52% y-o-y)/TWD10.1bn (10% q-o-q and 58% y-o-y)/TWD9.1bn (3% q-o-q and 21% y-o-y) respectively, exceeding our 1Q26 estimate by 8%/3%/4% and consensus by 4%/3%/2%. AI-related application continued its strong momentum as the key top-line driver for EMC and TUC, while pull-in consumer electronic orders kept ITEQ revenue flattish sequentially. Additionally, 10-15% price hikes to mid- to low-end CCL (M6 below) effected in 1Q26 should benefit these results as well.

Price hike extension into high-end CCL with solid demand: Looking into 2026, with 1) ramp-up of next generation AI GPU/ASIC platforms, 2) server CPU demand recovery, and 3) accelerating LEO shipment outlook, we observe a more tightening supply for high-end CCL (M7 above). With that, we estimate a 10-15% pricing adjustment starting from April. Besides, as the high end continues to squeeze out upstream material resources, we expect a higher price hike to mid- to low-end CCL (M6 below) of 15-20% in 2Q26 (from 10-15% in 1Q26). Given a more favorable pricing environment, we raise EMC/TUC/ITEQ 2026e revenue growth rates to 87.1%/69.7%/40.6% (vs consensus of 52.7%/45.2%/23.7%) and gross margin (GM) to 32.0%/27.1%/17.4% (vs consensus of 32.2%/27.2%/16.1%).

Retain Buy on EMC/TUC; Hold on ITEQ: Given robust high-end CCL demand and a more favourable pricing environment, we raise our TPs for EMC, TUC, and ITEQ. We prefer EMC and TUC, with 2027e upward revision driven by better ASP and aggressive expansions. We expect EMC to benefit from multiple AI projects on hand with leading share and TUC to favour from the AI order overflow given industry capacity constraints.

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Exhibit 1: CCL coverage summary table

Company	Ticker	Currency	CMP	Target Price Old	Target Price New	Rating	Upside /Downside	Market Cap (USDm)	P/E 2026	P/E 2027	P/B 2026	P/B 2027
Elite Material	2383 TW	TWD	3420.00	2785.00	4470.00	Buy	30.7%	36,350	38.1x	20.7x	21.0x	13.8x
Taiwan Union Technology	6274 TW	TWD	808.00	700.00	1020.00	Buy	26.2%	7,251	30.0x	18.2x	13.2x	11.1x
ITEQ Corp	6213 TW	TWD	214.00	119.00	236.00	Hold	10.3%	2,479	29.8x	18.1x	3.6x	3.5x

Source: HSBC estimates, Bloomberg. Priced as of close at 10 Apr 2026

Exhibit 2: EMC 1Q26 preliminary revenue

Net sales in TWDm	Jan	Feb	Mar	1Q26	HSBCe	Consensus
Revenue	**10,863**	**10,194**	**12,011**	**33,067**	**30,653**	**31,747**
m-o-m	24.8%	-6.2%	17.8%			
y-o-y	55.5%	45.0%	56.6%	52.5%	41.4%	46.4%
q-o-q				32.8%	23.1%	27.5%
Beat/Miss					**7.9%**	**4.2%**

Source: HSBCe, company data

Exhibit 3: TUC 1Q26 preliminary revenue

Net sales in TWDm	Jan	Feb	Mar	1Q26	HSBCe	Consensus
Revenue	**3,533**	**2,741**	**3,782**	**10,056**	**9,768**	**9,750**
m-o-m	8.7%	-22.4%	38.0%			
y-o-y	74.8%	27.3%	72.3%	57.9%	53.4%	53.2%
q-o-q				10.2%	7.0%	6.9%
Beat/Miss					**2.9%**	**3.0%**

Source: HSBCe, company data

Exhibit 4: ITEQ 1Q26 preliminary revenue

Net sales in TWDm	Jan	Feb	Mar	1Q26	HSBCe	Consensus
Revenue	**3,164**	**2,610**	**3,370**	**9,143**	**8,760**	**8,962**
m-o-m	-0.2%	-17.5%	29.1%			
y-o-y	42.2%	9.0%	13.8%	20.6%	15.6%	18.2%
q-o-q				2.5%	-1.8%	0.5%
Beat/Miss					**4.4%**	**2.0%**

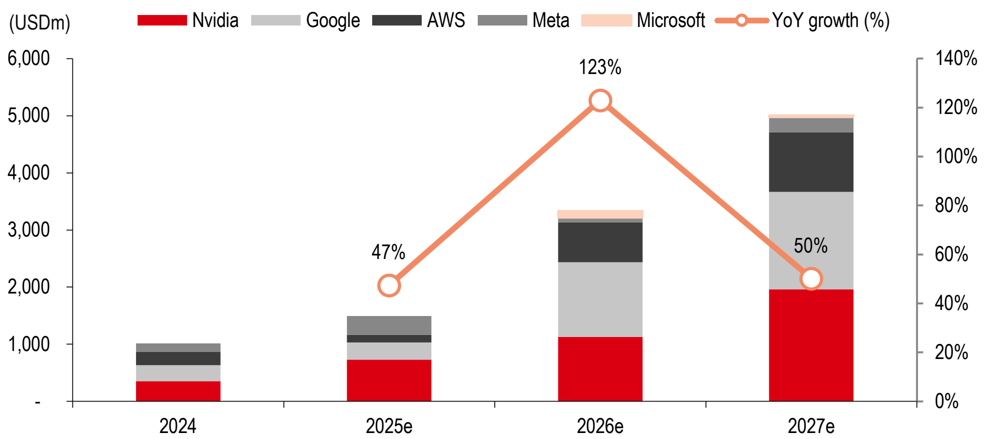
Source: HSBCe, company data

AI GPU/ASIC CCL TAM to grow 123%/50% y-o-y in 2026e/2027e

We update our AI GPU/ASIC CCL TAM forecast

With clearer visibility to customer CoWoS bookings and platform specs, we update our AI GPU/ASIC CCL TAM in 2026e/2027e to USD3.3bn/USD5.0bn with 123%/50% y-o-y growth (Nvidia, Google, and AWS remain the major contributors). This revision mainly resulted from the M9 CCL adoption and CPX attachment rate in Nvidia Vera Rubin rack.

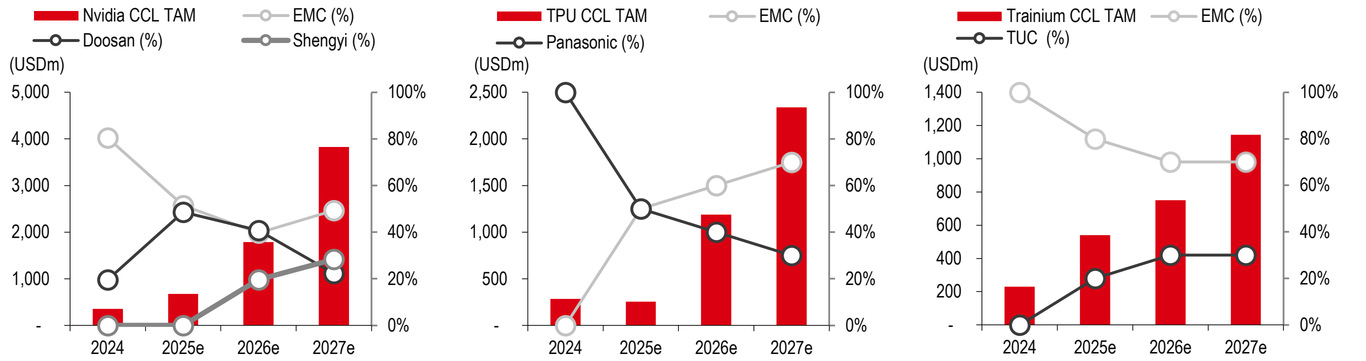
Exhibit 5: AI CCL TAM set to grow rapidly from 2024



Source: HSBCe, company data

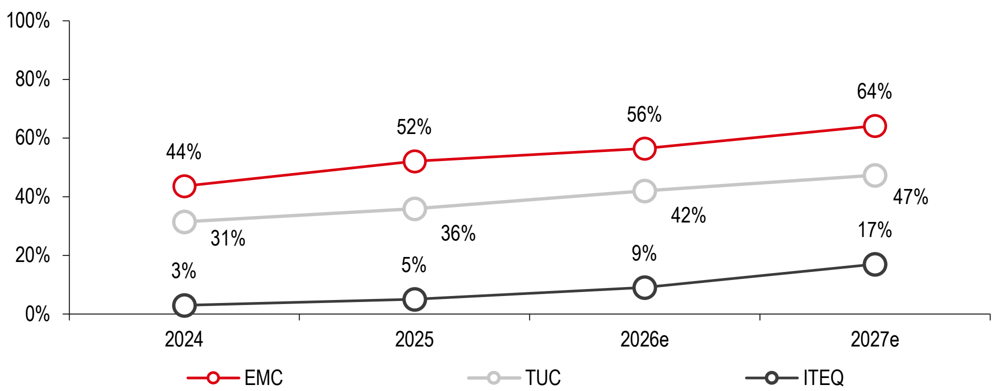
Our AI CCL TAM estimates are based on TSMC and OSATs CoWoS expansion as well as AI GPU vendors and major CSPs shipment outlooks. According to CSPs' recent earnings calls, 2026 capex guidance is for more than USD700bn with 73% y-o-y growth. Therefore, we see potential upside risk to our estimates, while we note the key constraints remain with critical component supply such as advanced node capacity, substrate, copper foil, glass fibre cloth, etc.

Exhibit 6: CCL market share estimates of Nvidia/Google/AWS AI projects



Source: HSBCe, company data

Exhibit 7: EMC/TUC/ITEQ high-end CCL (M7 above) revenue mix



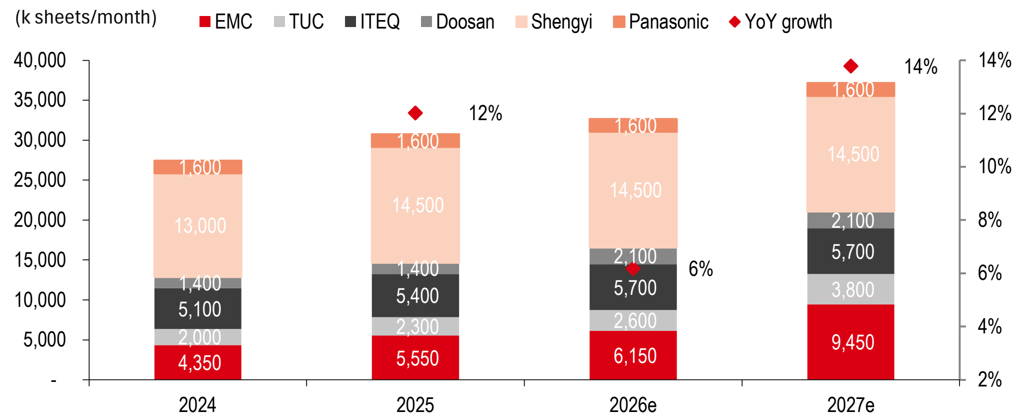
Source: HSBC estimates, company data

Recent discussion on potential delay in Nvidia Rubin Ultra rack

There were recent speculations among investors about the supply chain regarding a potential delay of the Nvidia Rubin Ultra rack shipment, due to potential PCB issues. According to our research, the ongoing uncertainty remains at the material part, and debates include: 1) the ability of the electrical performance of M9 CCL to meet the spec requirements or if M10 grade CCL could be introduced and adopted instead; and 2) the PTFE solution which has difficulty with lower yield rates for PCB suppliers.

Despite the uncertainty, we reiterate our view for rapidly growing high-end CCL TAM driven by the customer's aggressive product cycle and CCL spec upgrade. We also believe that the potential delay would have limited impact to EMC's 2027 earnings estimates as ASIC and networking application could refill the demand. However, the potential product timeline and spec adoption of major AI GPU customers remains the key to monitor.

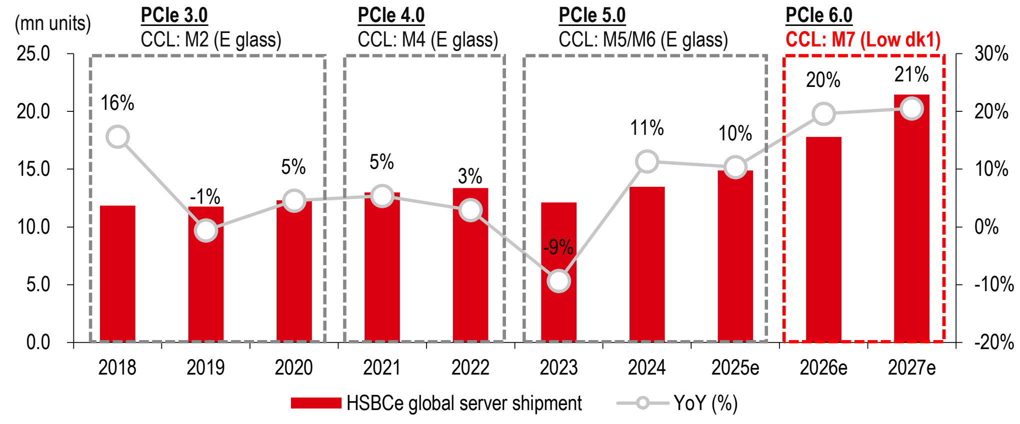
Exhibit 8: CCL supplier capacity expansion



Source: Company data, HSBC estimates

We update our CCL supplier total capacity expansion y-o-y growth to 6%/14% in 2026e/2027e. Among the peers, EMC indicated plans to expand more aggressively with 11%/54% y-o-y growth in 2026e/2027e, followed by TUC with a y-o-y growth plan of 13%/46%. The industry leader EMC previously postponed some of its capacity expansion from 4Q26 to 1H27 due to longer-than-expected key equipment lead time, showcasing the overall supply chain tightness (*4Q25 GM miss but product mix improvement*, 12 Mar 2026). We believe these ambitious expansion plans can by supported by robust high-end CCL demand for AI GPU/ASIC, networking switch, server CPU, and LEO applications.

Exhibit 9: Global server shipment forecast & CCL spec



Source: HSBC estimates, company data

EMC (2383 TT): maintain Buy; raise TP to TWD4,470 (from TWD2,785)

We believe EMC can continue to be the major AI beneficiary in the CCL industry, supported by its 1) capability and experience with AI-related products; 2) aggressive capacity expansion plan; and 3) leading position in M9 CCL solution. The solid spec upgrade trend in AI GPU, ASIC, and networking products should benefit the company's revenue and margin outlook.

Valuation: We raise our 2026e/2027e EPS by 17%/27% to reflect stronger AI momentum and favourable pricing environment. Our 2026e/2027e numbers are 21%/37% higher than consensus. Our new TP of TWD4,470 (from TWD2,785) is based on our 2027e EPS of TWD165.50 (from 2H26e-1H27e EPS) and an unchanged target PE multiple of 27x, which is higher than +1 STDV above the stock's historical 5-year average PE of 19x. We believe our higher target multiple is justified given EMS' ongoing leadership in high-end CCL, supported by its expansion and material procurement. Our TP implies 30.7% upside, and we maintain a Buy rating on EMC considering it has multiple AI projects in hand.

Downside risks: 1) slower AI demand growth, 2) potential spec downgrade in AI projects, 3) design changes at major smartphone customers, and 4) market share loss.

Exhibit 10: EMC – HSBC estimate changes and comparison to consensus

	New			Old			Diff			Consensus			HSBC v/s Cons		
(TWDm)	2025e	2026e	2027e	2025e	2026e	2027e	2025e	2026e	2027e	2025e	2026e	2027e	2025e	2026e	2027e
Sales	94,261	176,404	298,030	94,261	150,660	226,195	0.0%	17.1%	31.8%	94,261	143,912	208,847	0.0%	22.6%	42.7%
- y-o-y chg	46.4%	87.1%	68.9%	46.4%	59.8%	50.1%				46.4%	52.7%	45.1%			
Gross profits	28,120	56,465	99,347	28,120	48,411	78,621	0.0%	16.6%	26.4%	28,120	46,279	71,612	0.0%	22.0%	38.7%
- GM	29.8%	32.0%	33.3%	29.8%	32.1%	34.8%				29.8%	32.2%	34.3%			
Operating profits	19,113	39,530	74,014	18,768	34,400	59,168	1.8%	14.9%	25.1%	19,071	33,700	54,710	0.2%	17.3%	35.3%
- OPM	20.3%	22.4%	24.8%	19.9%	22.8%	26.2%				20.2%	23.4%	26.2%			
Net income	14,651	31,520	58,184	14,650	27,518	46,603	0.0%	14.5%	24.8%	14,649	26,369	42,624	0.0%	19.5%	36.5%
EPS (TWD)	41.85	89.65	165.50	41.66	76.90	130.23	0.5%	16.6%	27.1%	41.66	74.36	121.22	0.4%	20.6%	36.5%

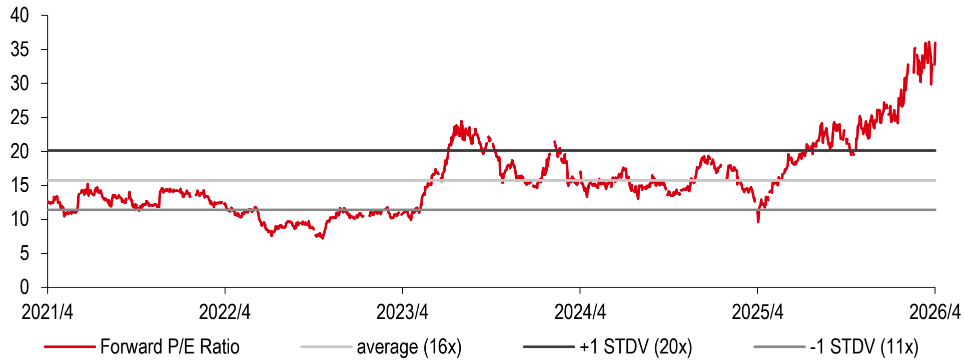
Source: Visible Alpha consensus forecasts, HSBC estimates

Exhibit 11: EMC – P&L

(TWDm)	2024	1Q25	2Q25	3Q25	4Q25	2025	1Q26e	2Q26e	3Q26e	4Q26e	2026e	2027e
Sales	64,377	21,680	22,508	25,146	24,927	94,261	33,067	41,114	48,616	53,607	176,404	298,030
Gross profits	17,970	6,590	6,829	7,576	7,125	28,120	9,796	12,852	15,974	17,844	56,465	99,347
Operating profits	12,152	4,540	4,644	4,990	4,935	19,113	6,621	8,905	11,306	12,697	39,530	74,014
Net income	9,578	3,469	3,479	3,966	3,737	14,651	5,278	7,137	9,010	10,095	31,520	58,184
EPS (TWD)	27.81	10.01	10.02	11.19	10.63	41.85	15.01	20.30	25.63	28.71	89.65	165.50
Ratios (%)												
Gross margin	27.9%	30.4%	30.3%	30.1%	28.6%	29.8%	29.6%	31.3%	32.9%	33.3%	32.0%	33.3%
OP margin	18.9%	20.9%	20.6%	19.8%	19.8%	20.3%	20.0%	21.7%	23.3%	23.7%	22.4%	24.8%
Net margin	14.9%	16.0%	15.5%	15.8%	15.0%	15.5%	16.0%	17.4%	18.5%	18.8%	17.9%	19.5%
Q-o-Q												
Sales		16.8%	3.8%	11.7%	-0.9%		32.7%	24.3%	18.2%	10.3%		
Gross profits		24.8%	3.6%	10.9%	-6.0%		37.5%	31.2%	24.3%	11.7%		
Operating profits		28.8%	2.3%	7.5%	-1.1%		34.2%	34.5%	27.0%	12.3%		
Net income		31.0%	0.3%	14.0%	-5.8%		41.2%	35.2%	26.2%	12.0%		
EPS (TWD)		30.5%	0.1%	11.7%	-5.0%		41.2%	35.2%	26.2%	12.0%		
Y-o-Y												
Sales	55.9%	68.0%	45.7%	44.0%	34.3%	46.4%	52.5%	82.7%	93.3%	115.1%	87.1%	68.9%
Gross profits	58.6%	76.3%	61.3%	60.7%	34.9%	56.5%	48.6%	88.2%	110.8%	150.5%	100.8%	75.9%
Operating profits	65.4%	79.0%	58.8%	57.6%	40.0%	57.3%	45.9%	91.8%	126.6%	157.3%	106.8%	87.2%
Net income	74.5%	75.4%	42.8%	57.6%	41.1%	53.0%	52.1%	105.1%	127.2%	170.1%	115.1%	84.6%
EPS (TWD)	70.1%	73.8%	41.6%	53.3%	38.6%	50.5%	50.0%	102.6%	129.0%	170.1%	114.2%	84.6%

Source: Company data, HSBC estimates

Exhibit 12: EMC – 1- year forward PE



Source: Bloomberg

TUC (6274 TT): maintain Buy; raise TP to TWD1,020 (from TWD700)

We continue to believe that TUC should emerge as a top candidate for second-source supplier of various AI-related products. In 2026/2027, we expect the 800G/1.6T networking switch and Amazon Trainium 3 project as the key growth drivers for the company, supported by a c13% capacity expansion in 2Q26 with full utilization.

Valuation: We raise our 2026e/2027e EPS by 9%/27% to factor in strong momentum in networking switch and AI projects as well as a favourable pricing environment. Our 2026e/2027e numbers are 11%/29% higher than consensus estimates. Our new TP of TWD1,020 (from TWD700) is based on our 2027e EPS of TWD34.89 (from 2H26e-1H27e EPS) and an unchanged target PE multiple of 23x, which is higher than +1 STDV above the stock's historical 5-year average PE of 17x. We believe our target PE multiple is justified given TUC's increasing AI exposure, but it is lower than our target multiple for industry leader EMC at 27x. Our TP implies 26.2% upside, and we maintain a Buy rating.

Downside risks: 1) slower AI demand growth, 2) potential spec downgrade in AI projects, 3) fierce price competition among CCL peers for mainstream products, and 4) market share loss.

Exhibit 13: TUC – HSBC estimate changes and comparison to consensus

	New			Old			Diff			Consensus			HSBC v/s Cons		
(TWDm)	2025e	2026e	2027e	2025e	2026e	2027e	2025e	2026e	2027e	2025e	2026e	2027e	2025e	2026e	2027e
Sales	30,340	51,476	77,475	30,340	46,940	59,614	0.0%	9.7%	30.0%	30,148	43,787	55,358	0.6%	17.6%	40.0%
- y-o-y chg	31.5%	69.7%	50.5%	31.5%	54.7%	27.0%				30.7%	45.2%	26.4%			
Gross profits	6,898	13,946	21,835	6,898	12,787	17,103	0.0%	9.1%	27.7%	7,105	11,916	16,171	-2.9%	17.0%	35.0%
- GM	22.7%	27.1%	28.2%	22.7%	27.2%	28.7%				23.6%	27.2%	29.2%			
Operating profits	4,344	9,931	16,334	4,344	9,126	12,870	0.0%	8.8%	26.9%	4,565	8,624	12,271	-4.9%	15.2%	33.1%
- OPM	14.3%	19.3%	21.1%	14.3%	19.4%	21.6%				15.1%	19.7%	22.2%			
Net income	3,409	7,757	12,751	3,409	7,129	10,049	0.0%	8.8%	26.9%	3,515	6,733	9,530	-3.0%	15.2%	33.8%
EPS (TWD)	12.14	26.93	44.28	12.14	24.75	34.89	0.0%	8.8%	26.9%	12.59	24.38	34.32	-3.6%	10.5%	29.0%

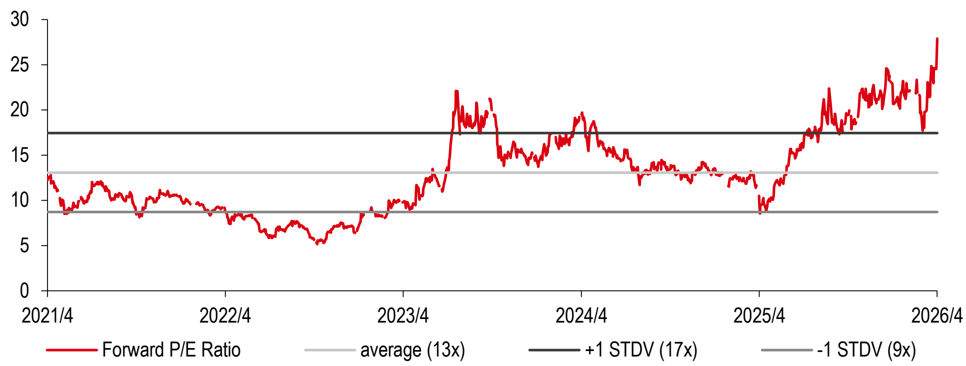
Source: Visible Alpha consensus forecasts, HSBC estimates

Exhibit 14: TUC – P&L

(TWDm)	2024	1Q25	2Q25	3Q25	4Q25	2025	1Q26e	2Q26e	3Q26e	4Q26e	2026e	2027e
Sales	23,070	6,372	6,780	8,063	9,125	30,340	10,056	12,756	14,164	14,500	51,476	77,475
Gross profits	5,342	1,533	1,435	1,915	2,015	6,898	2,560	3,467	3,893	4,026	13,946	21,835
Operating profits	3,332	935	853	1,266	1,290	4,344	1,776	2,472	2,788	2,895	9,931	16,334
Net income	2,604	672	652	1,003	1,083	3,409	1,388	1,931	2,177	2,261	7,757	12,751
EPS (TWD)	9.56	2.43	2.36	3.58	3.76	12.14	4.82	6.70	7.56	7.85	26.93	44.28
Ratios (%)												
Gross margin	23.2%	24.1%	21.2%	23.7%	22.1%	22.7%	25.5%	27.2%	27.5%	27.8%	27.1%	28.2%
OP margin	14.4%	14.7%	12.6%	15.7%	14.1%	14.3%	17.7%	19.4%	19.7%	20.0%	19.3%	21.1%
Net Margin	11.3%	10.5%	9.6%	12.4%	11.9%	11.2%	13.8%	15.1%	15.4%	15.6%	15.1%	16.5%
Q-o-Q												
Sales		1.0%	6.4%	18.9%	13.2%		10.2%	26.8%	11.0%	2.4%		
Gross profits		4.7%	-6.4%	33.4%	5.2%		27.1%	35.4%	12.3%	3.4%		
Operating profits		0.4%	-8.9%	48.4%	1.9%		37.6%	39.2%	12.8%	3.8%		
Net income		-4.7%	-3.0%	53.8%	8.0%		28.1%	39.1%	12.8%	3.8%		
EPS (TWD)		-5.8%	-3.0%	51.9%	4.9%		28.1%	39.1%	12.8%	3.8%		
Y-o-Y												
Sales	44.2%	43.7%	18.9%	21.8%	44.6%	31.5%	57.8%	88.1%	75.7%	58.9%	69.7%	50.5%
Gross profits	69.1%	51.5%	5.3%	27.4%	37.7%	29.1%	67.0%	141.6%	103.3%	99.8%	102.2%	56.6%
Operating profits	133.9%	65.7%	-1.6%	30.6%	38.4%	30.4%	89.8%	189.9%	120.3%	124.4%	128.6%	64.5%
Net income	216.3%	48.7%	-6.0%	33.0%	53.6%	30.9%	106.5%	196.3%	117.2%	108.8%	127.5%	64.4%
EPS (TWD)	213.4%	46.5%	-7.4%	29.4%	45.6%	26.9%	98.1%	184.2%	111.0%	108.8%	121.9%	64.4%

Source: Company data, HSBC estimates

Exhibit 15: TUC – 1-year forward PE



Source: Bloomberg

ITEQ (6213 TT): maintain Hold; raise TP to TWD236 (from TWD119)

We expect ITEQ to benefit from accelerating server CPU demand in 2026e/2027e with CCL spec upgrades, as general server accounts for 50-60% of its total revenue in 2025. However, with the formula and upstream material change in M7 CCL, we also estimate a market share redistribution.

ITEQ released its preliminary March earnings result of TWD0.32 on 10 April, implying a 11-12% monthly GM based on our calculation (vs 4Q25 GM of 14.1%). We believe the lower-than-expected GM resulted from the gap between rapidly raising material costs and ITEQ's relatively slower pricing adjustment pace and lower bargaining power. We thus revise down our 1Q26e GM to 12.5% (from 14.5%, vs consensus estimate of 14.6%).

Valuation: We raise our 2026e/2027e EPS by 5%/26% to factor in increasing server CPU shipments and a more favourable pricing environment. Our 2026e/2027e numbers are 11%/28% higher than consensus estimates. Our new TP of TWD236 (from TWD119) is based on our 2027e EPS of TWD11.82 (from 2H26e-1H27e EPS) and a higher target PE multiple of

20x (from 15x), which is 1 STDV above the stock's historical 5-year average PE. We believe a higher PE multiple is justified given that the company should benefit from rising CPU demand driven by AI and newly launched platforms. Given 10% implied upside, we maintain our Hold rating. While the company should benefit from increasing server demand with spec upgrade, it still falls behind in high-end CCL.

Upside risks: 1) better server CPU growth, 2) market share gain in next generation CPU platform, and 3) higher-than-expected price hike in mid- to low-end CCL.

Downside risks: 1) slower server CPU growth, 2) fierce price competition among CCL peers for mainstream products, and 3) market share loss.

Exhibit 16: ITEQ – HSBC estimate changes and comparison to consensus

	New			Old			Diff			Consensus			HSBC v/s Cons		
(TWDm)	2025e	2026e	2027e	2025e	2026e	2027e	2025e	2026e	2027e	2025e	2026e	2027e	2025e	2026e	2027e
Sales	33,099	46,526	56,655	33,099	39,495	47,036	0.0%	17.8%	20.5%	33,098	40,942	46,514	0.0%	13.6%	21.8%
- y-o-y chg	12.7%	40.6%	21.8%	12.7%	19.3%	19.1%				12.7%	23.7%	13.6%			
Gross profits	4,785	7,392	10,282	4,779	6,611	8,314	0.1%	11.8%	23.7%	4,785	6,596	8,303	0.0%	12.1%	23.8%
- GM	14.5%	15.9%	18.1%	14.4%	16.7%	17.7%				14.5%	16.1%	17.8%			
Operating profits	2,383	3,996	6,373	2,360	3,809	5,073	1.0%	4.9%	25.6%	2,377	3,609	4,918	0.2%	10.7%	29.6%
- OPM	7.2%	8.6%	11.2%	7.1%	9.6%	10.8%				7.2%	8.8%	10.6%			
Net income	1,511	2,608	4,290	1,479	2,496	3,418	2.1%	4.5%	25.5%	1,506	2,356	3,343	0.3%	10.7%	28.3%
EPS (TWD)	4.16	7.19	11.82	4.07	6.88	9.42	2.1%	4.5%	25.5%	4.15	6.49	9.21	0.3%	10.8%	28.4%

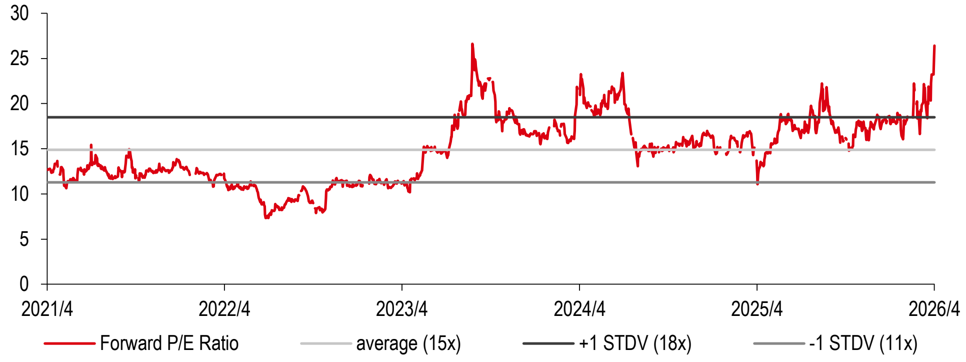
Source: Visible Alpha consensus forecasts, HSBC estimates

Exhibit 17: ITEQ – P&L

(TWDm)	2024	1Q25	2Q25	3Q25	4Q25	2025	1Q26e	2Q26e	3Q26e	4Q26e	2026e	2027e
Sales	29,378	7,580	8,877	7,724	8,917	33,099	9,143	11,469	12,620	13,294	46,526	56,655
Gross profits	3,690	1,080	1,384	1,061	1,261	4,785	1,145	1,630	2,236	2,382	7,392	10,282
Operating profits	1,351	522	788	446	627	2,383	477	793	1,315	1,411	3,996	6,373
Net income	822	337	420	325	428	1,511	317	529	849	913	2,608	4,290
EPS (TWD)	2.26	0.93	1.16	0.89	1.18	4.16	0.87	1.46	2.34	2.52	7.19	11.82
Ratios (%)												
Gross margin	12.6%	14.2%	15.6%	13.7%	14.1%	14.5%	12.5%	14.2%	17.7%	17.9%	15.9%	18.1%
OP margin	4.6%	6.9%	8.9%	5.8%	7.0%	7.2%	5.2%	6.9%	10.4%	10.6%	8.6%	11.2%
Net Margin	2.8%	4.4%	4.7%	4.2%	4.8%	4.6%	3.5%	4.6%	6.7%	6.9%	5.6%	7.6%
Q-o-Q												
Sales		-1.1%	17.1%	-13.0%	15.4%		2.5%	25.4%	10.0%	5.3%		
Gross profits		5.6%	28.1%	-23.3%	18.9%		-9.2%	42.4%	37.2%	6.5%		
Operating profits		35.1%	51.0%	-43.4%	40.7%		-23.9%	66.1%	65.8%	7.4%		
Net income		54.1%	24.7%	-22.8%	31.9%		-26.0%	67.1%	60.4%	7.5%		
EPS (TWD)		54.8%	24.7%	-22.8%	31.9%		-26.0%	67.1%	60.4%	7.5%		
Y-o-Y												
Sales	17.1%	23.2%	16.9%	-3.0%	16.3%	12.7%	20.6%	29.2%	63.4%	49.1%	40.6%	21.8%
Gross profits	1.4%	37.7%	45.7%	13.5%	23.3%	29.7%	6.0%	17.8%	110.8%	88.9%	54.5%	39.1%
Operating profits	15.9%	111.7%	133.1%	17.3%	62.4%	76.4%	-8.6%	0.6%	194.8%	125.0%	67.7%	59.5%
Net income	21.5%	119.5%	110.0%	30.3%	95.8%	83.8%	-6.0%	25.9%	161.5%	113.2%	72.7%	64.5%
EPS (TWD)	21.5%	121.2%	110.6%	29.7%	96.6%	83.8%	-6.1%	25.9%	161.5%	113.2%	72.7%	64.5%

Source: Company data, HSBC estimates

Exhibit 18: ITEQ – 1-year forward PE



Source: Bloomberg

Companies mentioned in this report

Company	Ticker	Rating	CMP
Nvidia	NVDA US	Buy	USD 183.91
Alphabet	GOOGL US	Buy	USD 318.49
Amazon	AMZN US	Buy	USD 233.65
Meta	META US	Buy	USD 628.39
Microsoft	MSFT US	Buy	USD 373.07
Shengyi Tech	600183 CH	Buy	CNY 61.21
Doosan	000150 KR	NR	KRW 1,295,000

Source: Bloomberg. Prices as of 9 Apr 2026; HSBC estimates

Financials & valuation: Elite Material

Buy

Financial statements

Year to	12/2024a	12/2025e	12/2026e	12/2027e
Profit & loss summary (TWDm)				
Revenue	64,377	94,261	176,404	298,030
EBITDA	13,921	20,078	42,330	77,214
Depreciation & amortisation	-1,769	-965	-2,800	-3,200
Operating profit/EBIT	12,152	19,113	39,530	74,014
Net interest	-315	-179	-220	-220
PBT	12,133	18,881	40,410	74,594
HSBC PBT	12,133	18,881	40,410	74,594
Taxation	-2,564	-4,231	-8,890	-16,411
Net profit	9,578	14,651	31,520	58,184
HSBC net profit	9,578	14,651	31,520	58,184
Cash flow summary (TWDm)				
Cash flow from operations	7,263	10,703	12,526	28,686
Capex	-5,867	-9,900	-1,900	-5,000
Cash flow from investment	-5,901	-9,900	-1,900	-5,000
Dividends	-3,439	-7,691	-16,448	-27,876
Change in net debt	848	6,888	5,822	4,190
FCF equity	1,397	803	10,626	23,686
Balance sheet summary (TWDm)				
Intangible fixed assets	585	585	585	585
Tangible fixed assets	21,387	30,322	29,422	31,222
Current assets	51,494	52,363	83,671	134,563
Cash & others	14,989	8,101	2,279	-1,911
Total assets	76,080	85,884	116,292	168,984
Operating liabilities	24,433	27,277	42,614	64,998
Gross debt	16,553	16,553	16,553	16,553
Net debt	1,564	8,452	14,274	18,464
Shareholders' funds	35,094	42,054	57,126	87,433
Invested capital	34,043	47,891	68,785	103,283

Ratio, growth and per share analysis

Year to	12/2024a	12/2025e	12/2026e	12/2027e
Y-o-y % change				
Revenue	55.9	46.4	87.1	68.9
EBITDA	61.0	44.2	110.8	82.4
Operating profit	65.4	57.3	106.8	87.2
PBT	63.5	55.6	114.0	84.6
HSBC EPS	70.1	50.5	114.2	84.6
Ratios (%)				
Revenue/IC (x)	2.2	2.3	3.0	3.5
ROIC	32.4	36.2	52.9	67.1
ROE	30.9	38.0	63.6	80.5
ROA	15.3	18.5	31.4	41.0
EBITDA margin	21.6	21.3	24.0	25.9
Operating profit margin	18.9	20.3	22.4	24.8
EBITDA/net interest (x)	44.1	112.3	192.4	351.0
Net debt/equity	4.5	20.1	25.0	21.1
Net debt/EBITDA (x)	0.1	0.4	0.3	0.2
CF from operations/net debt	464.4	126.6	87.8	155.4
Per share data (TWD)				
EPS Rep (diluted)	27.8	41.8	89.7	165.5
HSBC EPS (diluted)	27.8	41.8	89.7	165.5
DPS	9.9	22.2	47.5	80.4
Book value	101.9	120.1	162.5	248.7

Valuation data

Year to	12/2024a	12/2025e	12/2026e	12/2027e
EV/sales	19.1	13.1	7.0	4.2
EV/EBITDA	88.1	61.5	29.3	16.1
EV/IC	36.0	25.8	18.0	12.0
PE*	123.0	81.7	38.1	20.7
PB	33.6	28.5	21.0	13.8
FCF yield (%)	0.1	0.1	0.9	1.9
Dividend yield (%)	0.3	0.6	1.4	2.4

* Based on HSBC EPS (diluted)

ESG metrics

Environmental Indicators	12/2024a
GHG emission intensity*	86.4
Energy intensity*	151.4
CO_2 reduction policy	Yes
Social Indicators	**12/2024a**
Employee costs as % of revenues	[n/a]
Employee turnover (%)	31.4
Diversity policy	Yes

Governance Indicators	12/2025a
No. of board members	7
Average board tenure (years)	[n/a]
Female board members (%)	14.3
Board members independence (%)	42.9

Source: Company data, HSBC

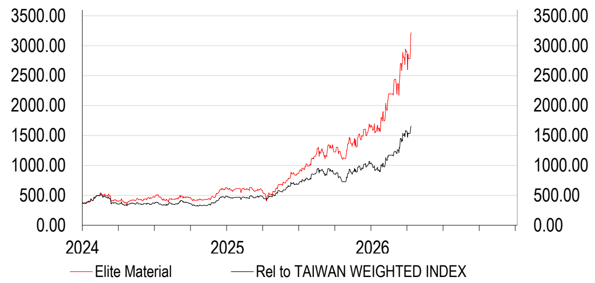
* GHG intensity and energy intensity are measured in kg and kWh respectively against revenue in USD '000s

Issuer information

Share price (TWD)	3420.00
Target price (TWD)	4470.00
RIC (Equity)	2383.TW
Bloomberg (Equity)	2383 TT
Market cap (USDm)	38,608

Free float	77%
Sector	Electronic Equipment
Country/Region	Taiwan
Analyst	Ted Lin
Contact	+886 2 6631 2870

Price relative



Source: HSBC

Note: Priced at close of 10 Apr 2026

Financials & valuation: Taiwan Union Technology

Buy

Financial statements

Year to	12/2024a	12/2025e	12/2026e	12/2027e
Profit & loss summary (TWDm)				
Revenue	23,070	30,340	51,476	77,475
EBITDA	3,784	4,780	10,391	16,794
Depreciation & amortisation	-452	-436	-460	-460
Operating profit/EBIT	3,332	4,344	9,931	16,334
Net interest	90	40	14	14
PBT	3,378	4,519	9,945	16,348
HSBC PBT	3,378	4,519	9,945	16,348
Taxation	-773	-1,109	-2,188	-3,596
Net profit	2,604	3,409	7,757	12,751
HSBC net profit	2,604	3,409	7,757	12,751
Cash flow summary (TWDm)				
Cash flow from operations	653	3,147	2,224	5,987
Capex	-1,172	-2,000	-2,000	-950
Cash flow from investment	-1,106	-2,069	-2,069	-1,019
Dividends	-1,090	-2,383	-5,477	-9,478
Change in net debt	322	1,236	5,253	4,441
FCF equity	-519	1,147	224	5,037
Balance sheet summary (TWDm)				
Intangible fixed assets	10	10	10	10
Tangible fixed assets	4,339	5,903	7,443	7,933
Current assets	20,264	23,266	30,457	40,900
Cash & others	7,037	8,551	6,089	4,418
Total assets	25,878	30,444	39,175	50,108
Operating liabilities	7,129	7,920	11,580	16,470
Gross debt	4,411	7,160	9,952	12,722
Net debt	-2,626	-1,390	3,863	8,304
Shareholders' funds	14,337	15,363	17,643	20,916
Invested capital	10,446	12,708	20,241	27,955

Ratio, growth and per share analysis

Year to	12/2024a	12/2025e	12/2026e	12/2027e
Y-o-y % change				
Revenue	44.2	31.5	69.7	50.5
EBITDA	100.8	26.3	117.4	61.6
Operating profit	133.9	30.4	128.6	64.5
PBT	117.9	33.8	120.1	64.4
HSBC EPS	213.4	26.9	121.9	64.4
Ratios (%)				
Revenue/IC (x)	4.4	2.6	3.1	3.2
ROIC	49.2	28.3	47.0	52.9
ROE	36.3	23.0	47.0	66.1
ROA	20.4	12.3	22.5	28.7
EBITDA margin	16.4	15.8	20.2	21.7
Operating profit margin	14.4	14.3	19.3	21.1
EBITDA/net interest (x)				
Net debt/equity	-18.3	-9.0	21.9	39.7
Net debt/EBITDA (x)	-0.7	-0.3	0.4	0.5
CF from operations/net debt			57.6	72.1
Per share data (TWD)				
EPS Rep (diluted)	9.56	12.14	26.93	44.28
HSBC EPS (diluted)	9.56	12.14	26.93	44.28
DPS	3.95	8.63	19.85	34.34
Book value	52.63	54.69	61.26	72.62

Valuation data

Year to	12/2024a	12/2025e	12/2026e	12/2027e
EV/sales	10.0	7.6	4.6	3.1
EV/EBITDA	61.0	48.5	22.8	14.4
EV/IC	22.1	18.3	11.7	8.6
PE*	84.5	66.6	30.0	18.2
PB	15.4	14.8	13.2	11.1
FCF yield (%)	-0.2	0.5	0.1	2.2
Dividend yield (%)	0.5	1.1	2.5	4.3

* Based on HSBC EPS (diluted)

ESG metrics

Environmental Indicators	12/2024a
GHG emission intensity*	146.6
Energy intensity*	71.8
CO_2 reduction policy	Yes
Social Indicators	**12/2024a**
Employee costs as % of revenues	[n/a]
Employee turnover (%)	16.7
Diversity policy	Yes

Governance Indicators	12/2025a
No. of board members	7
Average board tenure (years)	[n/a]
Female board members (%)	14.3
Board members independence (%)	57.1

Source: Company data, HSBC

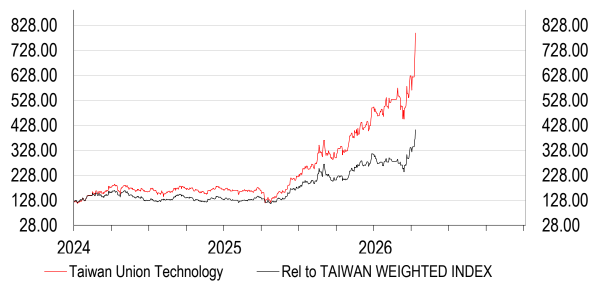
* GHG intensity and energy intensity are measured in kg and kWh respectively against revenue in USD '000s

Issuer information

Share price (TWD)	808.00
Target price (TWD)	1020.00
RIC (Equity)	6274.TWO
Bloomberg (Equity)	6274 TT
Market cap (USDm)	7,351

Free float	95%
Sector	Electronic Equipment
Country/Region	Taiwan
Analyst	Ted Lin
Contact	+886 2 6631 2870

Price relative



Source: HSBC

Note: Priced at close of 10 Apr 2026

Financials & valuation: ITEQ Corporation

Hold

Financial statements

Year to	12/2024a	12/2025e	12/2026e	12/2027e
Profit & loss summary (TWDm)				
Revenue	29,378	33,099	46,526	56,655
EBITDA	2,824	3,969	5,603	7,980
Depreciation & amortisation	-1,474	-1,586	-1,607	-1,607
Operating profit/EBIT	1,351	2,383	3,996	6,373
Net interest	-121	-129	-132	-132
PBT	1,317	2,367	3,952	6,309
HSBC PBT	1,317	2,367	3,952	6,309
Taxation	-496	-856	-1,344	-2,019
Net profit	822	1,511	2,608	4,290
HSBC net profit	822	1,511	2,608	4,290
Cash flow summary (TWDm)				
Cash flow from operations	925	3,214	-365	2,708
Capex	-1,726	-2,000	-2,000	-2,000
Cash flow from investment	-1,696	-1,963	-1,963	-1,963
Dividends	-544	-1,172	-2,115	-3,689
Change in net debt	1,345	-43	4,480	2,981
FCF equity	-801	1,214	-2,365	708
Balance sheet summary (TWDm)				
Intangible fixed assets	21	21	21	21
Tangible fixed assets	9,649	10,064	10,457	10,849
Current assets	22,259	23,120	25,665	27,848
Cash & others	4,648	4,690	210	-2,771
Total assets	34,844	36,119	39,057	41,633
Operating liabilities	8,623	9,559	12,004	13,979
Gross debt	5,575	5,575	5,575	5,575
Net debt	928	885	5,365	8,346
Shareholders' funds	20,646	20,985	21,478	22,079
Invested capital	18,658	18,954	23,927	27,510

Ratio, growth and per share analysis

Year to	12/2024a	12/2025e	12/2026e	12/2027e
Y-o-y % change				
Revenue	17.1	12.7	40.6	21.8
EBITDA	30.9	40.5	41.2	42.4
Operating profit	35.8	76.4	67.7	59.5
PBT	14.3	79.7	67.0	59.6
HSBC EPS	21.5	83.8	72.7	64.5
Ratios (%)				
Revenue/IC (x)	1.8	1.8	2.2	2.2
ROIC	5.0	8.1	12.3	16.9
ROE	4.1	7.3	12.3	19.7
ROA	2.7	4.5	7.2	10.9
EBITDA margin	9.6	12.0	12.0	14.1
Operating profit margin	4.6	7.2	8.6	11.2
EBITDA/net interest (x)	23.3	30.7	42.4	60.4
Net debt/equity	4.5	4.2	25.0	37.8
Net debt/EBITDA (x)	0.3	0.2	1.0	1.0
CF from operations/net debt	99.7	363.2		32.4
Per share data (TWD)				
EPS Rep (diluted)	2.26	4.16	7.19	11.82
HSBC EPS (diluted)	2.26	4.16	7.19	11.82
DPS	1.50	3.23	5.83	10.16
Book value	56.88	57.81	59.17	60.83

Valuation data

Year to	12/2024a	12/2025e	12/2026e	12/2027e
EV/sales	2.7	2.4	1.8	1.5
EV/EBITDA	27.8	19.8	14.8	10.8
EV/IC	4.2	4.1	3.5	3.1
PE*	94.5	51.4	29.8	18.1
PB	3.8	3.7	3.6	3.5
FCF yield (%)	-1.0	1.6	-3.0	0.9
Dividend yield (%)	0.7	1.5	2.7	4.7

* Based on HSBC EPS (diluted)

ESG metrics

Environmental Indicators	12/2024a
GHG emission intensity*	173.4
Energy intensity*	416.2
CO_2 reduction policy	Yes
Social Indicators	**12/2024a**
Employee costs as % of revenues	9.8
Employee turnover (%)	33.2
Diversity policy	Yes

Governance Indicators	12/2025a
No. of board members	7
Average board tenure (years)	[n/a]
Female board members (%)	28.6
Board members independence (%)	57.1

Source: Company data, HSBC

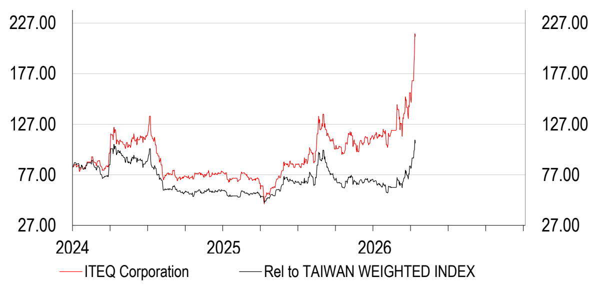
* GHG intensity and energy intensity are measured in kg and kWh respectively against revenue in USD '000s

Issuer information

Share price (TWD)	214.00
Target price (TWD)	236.00
RIC (Equity)	6213.TW
Bloomberg (Equity)	6213 TT
Market cap (USDm)	2,450

Free float	45%
Sector	Electronic Equipment
Country/Region	Taiwan
Analyst	Ted Lin
Contact	+886 2 6631 2870

Price relative



Source: HSBC

Note: Priced at close of 10 Apr 2026

Disclosure appendix

Analyst Certification

The following analyst(s), economist(s), or strategist(s) who is(are) primarily responsible for this report, including any analyst(s) whose name(s) appear(s) as author of an individual section or sections of the report and any analyst(s) named as the covering analyst(s) of a subsidiary company in a sum-of-the-parts valuation certifies(y) that the opinion(s) on the subject security(ies) or issuer(s), any views or forecasts expressed in the section(s) of which such individual(s) is(are) named as author(s), and any other views or forecasts expressed herein, including any views expressed on the back page of the research report, accurately reflect their personal view(s) and that no part of their compensation was, is or will be directly or indirectly related to the specific recommendation(s) or views contained in this research report: Ted Lin and Jimmy Wu

Important disclosures

Equities: Stock ratings and basis for financial analysis

HSBC and its affiliates, including the issuer of this report ("HSBC") believes an investor's decision to buy or sell a stock should depend on individual circumstances such as the investor's existing holdings, risk tolerance and other considerations and that investors utilise various disciplines and investment horizons when making investment decisions. Ratings should not be used or relied on in isolation as investment advice. Different securities firms use a variety of ratings terms as well as different rating systems to describe their recommendations and therefore investors should carefully read the definitions of the ratings used in each research report. Further, investors should carefully read the entire research report and not infer its contents from the rating because research reports contain more complete information concerning the analysts' views and the basis for the rating.

From 23rd March 2015 HSBC has assigned ratings on the following basis:

The target price is based on the analyst's assessment of the stock's actual current value, although we expect it to take six to 12 months for the market price to reflect this. When the target price is more than 20% above the current share price, the stock will be classified as a Buy; when it is between 5% and 20% above the current share price, the stock may be classified as a Buy or a Hold; when it is between 5% below and 5% above the current share price, the stock will be classified as a Hold; when it is between 5% and 20% below the current share price, the stock may be classified as a Hold or a Reduce; and when it is more than 20% below the current share price, the stock will be classified as a Reduce.

Our ratings are re-calibrated against these bands at the time of any 'material change' (initiation or resumption of coverage, change in target price or estimates).

Upside/Downside is the percentage difference between the target price and the share price.

Prior to this date, HSBC's rating structure was applied on the following basis:

For each stock we set a required rate of return calculated from the cost of equity for that stock's domestic or, as appropriate, regional market established by our strategy team. The target price for a stock represented the value the analyst expected the stock to reach over our performance horizon. The performance horizon was 12 months. For a stock to be classified as Overweight, the potential return, which equals the percentage difference between the current share price and the target price, including the forecast dividend yield when indicated, had to exceed the required return by at least 5 percentage points over the succeeding 12 months (or 10 percentage points for a stock classified as Volatile*). For a stock to be classified as Underweight, the stock was expected to underperform its required return by at least 5 percentage points over the succeeding 12 months (or 10 percentage points for a stock classified as Volatile*). Stocks between these bands were classified as Neutral.

*A stock was classified as volatile if its historical volatility had exceeded 40%, if the stock had been listed for less than 12 months (unless it was in an industry or sector where volatility is low) or if the analyst expected significant volatility. However, stocks which we did not consider volatile may in fact also have behaved in such a way. Historical volatility was defined as the past month's average of the daily 365-day moving average volatilities. In order to avoid misleadingly frequent changes in rating, however, volatility had to move 2.5 percentage points past the 40% benchmark in either direction for a stock's status to change.

Rating distribution for long-term investment opportunities

As of 31 March 2026, the distribution of all independent ratings published by HSBC is as follows:

Buy	59%	(12% of these provided with Investment Banking Services in the past 12 months)
Hold	36%	(12% of these provided with Investment Banking Services in the past 12 months)
Sell	6%	(6% of these provided with Investment Banking Services in the past 12 months)

For the purposes of the distribution above the following mapping structure is used during the transition from the previous to current rating models: under our previous model, Overweight = Buy, Neutral = Hold and Underweight = Sell; under our current model Buy = Buy, Hold = Hold and Reduce = Sell. For rating definitions under both models, please see “Stock ratings and basis for financial analysis” above.

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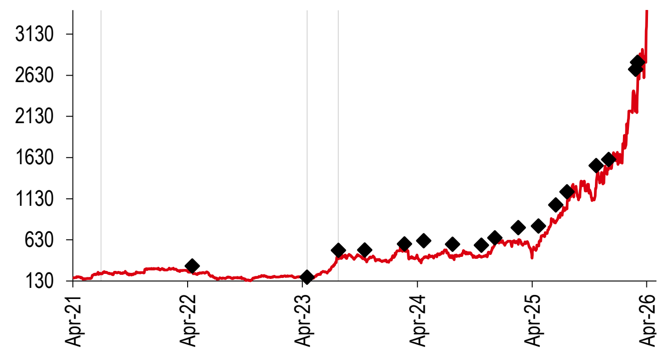
Share price and rating changes for long-term investment opportunities

Elite Material (2383.TW) share price performance TWD Vs HSBC rating history



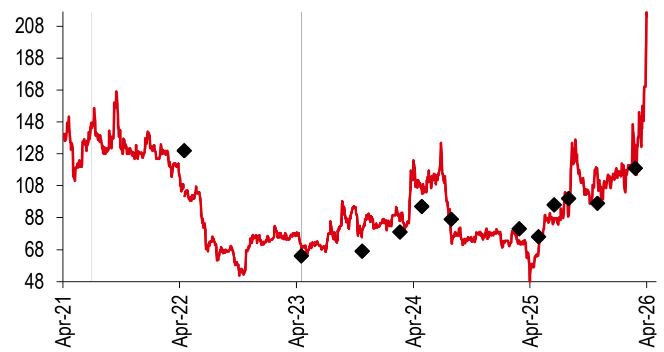
Source: HSBC

Rating & target price history

From	To	Date	Analyst
N/A	Buy	08 Jul 2021	Nicole Tu
Buy	Hold	25 Apr 2023	Ted Lin
Hold	Buy	02 Aug 2023	Ted Lin
Target price	**Value**	**Date**	**Analyst**
Price 1	310	24 Apr 2022	Davy Hsu
Price 2	173	25 Apr 2023	Ted Lin
Price 3	500	02 Aug 2023	Ted Lin
Price 4	505	25 Oct 2023	Ted Lin
Price 5	580	29 Feb 2024	Ted Lin
Price 6	617	30 Apr 2024	Ted Lin
Price 7	576	31 Jul 2024	Ted Lin
Price 8	563	30 Oct 2024	Ted Lin
Price 9	654	12 Dec 2024	Ted Lin
Price 10	778	25 Feb 2025	Ted Lin
Price 11	795	30 Apr 2025	Ted Lin
Price 12	1054	24 Jun 2025	Ted Lin
Price 13	1212	30 Jul 2025	Ted Lin
Price 14	1530	30 Oct 2025	Ted Lin
Price 15	1605	09 Dec 2025	Ted Lin
Price 16	2700	05 Mar 2026	Ted Lin
Price 17	2785	11 Mar 2026	Ted Lin

Source: HSBC

ITEQ Corporation (6213.TW) share price performance TWD Vs HSBC rating history



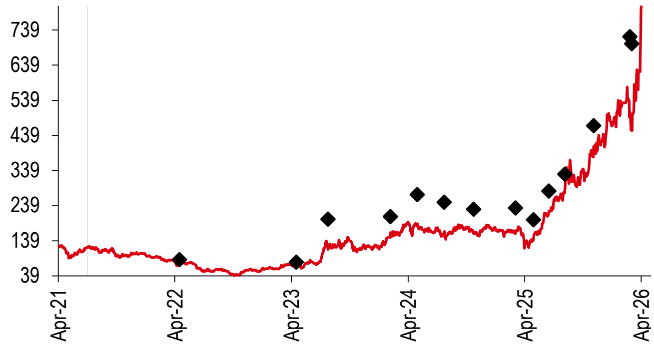
Source: HSBC

Rating & target price history

From	To	Date	Analyst
N/A	Buy	08 Jul 2021	Nicole Tu
Buy	Hold	25 Apr 2023	Ted Lin
Target price	**Value**	**Date**	**Analyst**
Price 1	130.00	24 Apr 2022	Davy Hsu
Price 2	64.00	25 Apr 2023	Ted Lin
Price 3	67.00	01 Nov 2023	Ted Lin
Price 4	79.00	28 Feb 2024	Ted Lin
Price 5	95.00	06 May 2024	Ted Lin
Price 6	87.00	06 Aug 2024	Ted Lin
Price 7	81.00	07 Mar 2025	Ted Lin
Price 8	76.00	06 May 2025	Ted Lin
Price 9	96.00	24 Jun 2025	Ted Lin
Price 10	100.00	08 Aug 2025	Ted Lin
Price 11	97.00	07 Nov 2025	Ted Lin
Price 12	119.00	05 Mar 2026	Ted Lin

Source: HSBC

Taiwan Union Technology (6274.TWO) share price performance TWD Vs HSBC rating history



Source: HSBC

Rating & target price history

From	To	Date	Analyst
N/A	Buy	08 Jul 2021	Nicole Tu
Target price	**Value**	**Date**	**Analyst**
Price 1	85.00	24 Apr 2022	Davy Hsu
Price 2	77.00	25 Apr 2023	Ted Lin
Price 3	200.00	02 Aug 2023	Ted Lin
Price 4	207.00	14 Feb 2024	Ted Lin
Price 5	270.00	08 May 2024	Ted Lin
Price 6	248.00	31 Jul 2024	Ted Lin
Price 7	228.00	31 Oct 2024	Ted Lin
Price 8	232.00	12 Mar 2025	Ted Lin
Price 9	198.00	07 May 2025	Ted Lin
Price 10	280.00	24 Jun 2025	Ted Lin
Price 11	328.00	13 Aug 2025	Ted Lin
Price 12	466.50	12 Nov 2025	Ted Lin
Price 13	720.00	05 Mar 2026	Ted Lin
Price 14	700.00	11 Mar 2026	Ted Lin

Source: HSBC

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HSBC & Analyst disclosures
Disclosure checklist

Company	Ticker	Recent price	Price date	Disclosure
ELITE MATERIAL	2383.TW	3420.00	10 Apr 2026	7
ITEQ CORPORATION	6213.TW	214.00	10 Apr 2026	7
TAIWAN UNION TECHNOLOGY	6274.TWO	808.00	10 Apr 2026	–

Source: HSBC

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